

Esso Petroleum Company, Limited

Report and Financial Statements

For the year ended

31 December 2004

(Reg. No. 26538)



Esso Petroleum Company, Limited

(Reg. No. 26538)

DIRECTORS

A Swiger (Chairman) - Resigned 31 May 2004

R Olsen (Chairman) - Appointed 1 June 2004

J Selzer (Executive Director Finance)

A Todd (Executive Director Fuels Marketing)

T Katinas (Executive Director Logistics & Refining)

SECRETARY

J Boydell

REGISTERED OFFICE

ExxonMobil House

Ermyrn Way

Leatherhead

Surrey KT22 8UX

AUDITORS

PricewaterhouseCoopers LLP

1 Embankment Place

London WC2N 6RH

Esso Petroleum Company, Limited

REPORT OF THE DIRECTORS

for the year ended 31 December 2004

The Directors present their annual report and the audited financial statements for the year ended 31 December 2004.

DIRECTORS AND THEIR INTERESTS

The Directors who held office during the year and to the date of this Report are listed on page 1.

During the year and in the period to the date of this report none of the Directors had any interests in shares of any Exxon Mobil Corporation group undertakings ("the Group") such as would be required to be disclosed in accordance with the provisions of Schedule 7 of the Companies Act 1985.

PRINCIPAL ACTIVITIES AND REVIEW OF THE BUSINESS

The principal activities of Esso Petroleum Company, Limited ("the Company") are the refining, distribution and marketing of petroleum products in the United Kingdom. The principal subsidiaries of the Company at 31 December 2004 are listed in note 11 to the accounts.

During 2004, operating conditions continued to be intensely competitive. Profits were significantly improved versus 2003 however, driven by higher refining margins and throughput volumes, and continued control over operating expenditures.

The Company continued to meet the changing and wide ranging demands of its customers, whilst operating to the highest standards of operational integrity.

FUTURE DEVELOPMENTS

The Company intends to remain a major refiner and marketer of petroleum products in the United Kingdom.

RESULTS AND DIVIDENDS

The Company's profit for the year was £145.4m (2003: £11.8m).

No dividends were paid during the year (2003: £nil).

DONATIONS

During 2004 the Company made total donations and other support to the community of £743,368 (2003: £731,068). Of this, charitable donations amounted to £329,841 (2003: £319,458). There were no political donations.

RESEARCH AND DEVELOPMENT

The Company is able to call on the extensive research and development resources of its ultimate holding company, Exxon Mobil Corporation. This includes research into automotive and aviation fuels and engine lubricants and a comprehensive technical support service, covering crude oils, industrial fuels and lubricants, bitumens and greases. Research and guidance on environmental matters is also provided by other members of the Group.

HEALTH AND SAFETY

The Company's policy is to conduct its business in a manner that protects the safety of the employees, others involved in its operations, customers and the public. The Company will strive to prevent all accidents, injuries and occupational illnesses through the active participation of every employee. The Company is committed to continuous efforts to identify and eliminate or manage health and safety risks associated with its activities.

In August 2004, another Group Company, Esso UK Limited, published a UK and Ireland Citizenship brochure that sets out our positions, actions and priorities in detail. A Fawley Community Report was also produced containing information on safety, health and environmental performance of the refinery and chemicals manufacturing plant at Fawley for 2003. In July 2005, an update to the UK and Ireland Corporate Citizenship brochure was published together with a Fawley Community report containing information for 2004.

The Company's key principles and commitments in the areas of safety, health and the environment, among others, are consistent with those of its ultimate holding Company, Exxon Mobil Corporation. In 2005, Exxon Mobil Corporation published a Corporate Citizen Report on its performance as a global corporate citizen during 2004.

Esso Petroleum Company, Limited

REPORT OF THE DIRECTORS

for the year ended 31 December 2004

HEALTH AND SAFETY (continued)

Copies of these publications can be obtained by writing to: ExxonMobil Information Services, PO Box 94, Aldershot, Hampshire GU12 4GJ. Alternatively, they can be viewed on www.exxonmobil.co.uk on the publications page of the news room.

EMPLOYMENT POLICY

The Company is an equal opportunity employer and complies with all relevant legislation. It pays particular attention to measures which will encourage the employment and career development of both women and ethnic minorities.

The Company's policy is also to ensure that equal opportunities, including training, career development and promotion exist for disabled persons and employees who have become disabled while employed by the Company, having regard to their particular circumstances.

EMPLOYEE INVOLVEMENT

The Company has established over many years a comprehensive programme of employee communication and consultation. The Directors are committed to the continued involvement of employees in this way as an essential element in the Company remaining efficient and competitive. It is an integral part of management's responsibility to ensure that all employees understand the Company's objectives and the contribution that each individual can make to the achievement of those objectives.

ENVIRONMENTAL POLICY

The Company has a policy to ensure that it conducts its business in a manner that is compatible with the balanced environmental and economic needs of the community. Further, it is the Group's policy to comply with all applicable environmental laws and regulations and apply responsible standards where laws and regulations do not exist.

AUDITORS

The auditors, PricewaterhouseCoopers LLP, have indicated their willingness to continue in office. The Company has exercised its entitlement under s386 of the Companies Act 1985 to dispense with holding Annual General meetings and with appointing auditors annually.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

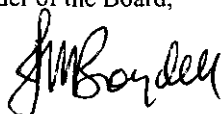
Company law requires the Directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

The Directors are required to prepare financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors confirm that suitable accounting policies have been used and applied consistently. They also confirm that reasonable and prudent judgements and estimates have been made in preparing the financial statements for the year ended 31 December 2004 and that applicable Accounting Standards have been followed.

The Directors are responsible for keeping proper accounting records that disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By Order of the Board,



Secretary J Boydell

21ST OCTOBER

2005

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ESSO PETROLEUM COMPANY, LIMITED

We have audited the financial statements which comprise the profit and loss account, statement of total recognised gains and losses, the balance sheet and the related notes.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

The Directors' responsibilities for preparing the Annual Report and the financial statements in accordance with applicable United Kingdom law and accounting standards are set out in the statement of Directors' responsibilities.

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements, and United Kingdom Auditing Standards issued by the Auditing Practices Board. This report, including the opinion, has been prepared for and only for the Company's members as a body in accordance with Section 235 of the Companies Act 1985 and for no other purpose. We do not, in giving this opinion, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or in to whose hands it may come save where expressly agreed by our prior consent in writing.

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985. We also report to you if, in our opinion, the Directors' report is not consistent with the financial statements, if the Company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding Directors' remuneration and transactions is not disclosed.

BASIS OF AUDIT OPINION

We conducted our audit in accordance with auditing standards issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the Directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the Company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

OPINION

In our opinion the financial statements give a true and fair view of the state of the Company's affairs as at 31 December 2004 and of its profit for the year then ended and have been properly prepared in accordance with the Companies Act 1985.

PricewaterhouseCoopers LLP

PricewaterhouseCoopers LLP
Chartered Accountants and Registered Auditors
London

21 October 2005

Esso Petroleum Company, Limited
PROFIT AND LOSS ACCOUNT
for the year ended 31 December 2004

	Note	2004 £m	2003 £m
Continuing operations:			
Gross Revenue		9,885.3	9,284.7
Excise duties and VAT		<u>(5,458.2)</u>	<u>(5,589.3)</u>
Turnover	2	4,427.1	3,695.4
Cost of sales		<u>(3,916.0)</u>	<u>(3,360.0)</u>
Gross profit		511.1	335.4
Distribution costs		(295.2)	(306.7)
Administrative expenses		<u>(24.1)</u>	<u>(22.0)</u>
OPERATING PROFIT	3	191.8	6.7
Income from shares in group undertakings		2.0	2.9
Income from fixed asset investments		1.3	1.3
Profit on sale of fixed assets		<u>27.4</u>	<u>22.7</u>
PROFIT ON ORDINARY ACTIVITIES BEFORE INTEREST AND TAXATION		222.5	33.6
Interest receivable and similar income	6	12.6	7.2
Interest payable and similar charges	7	<u>(35.7)</u>	<u>(27.6)</u>
PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION		199.4	13.2
Taxation on profit on ordinary activities	8	<u>(54.0)</u>	<u>(1.4)</u>
PROFIT AND RETAINED PROFIT FOR THE FINANCIAL YEAR	18	<u>145.4</u>	<u>11.8</u>

The notes on pages 8 to 20 form part of the financial statements.

There is no material difference between the reported profit on ordinary activities before taxation, and retained profit for the year as stated above, and their historical cost equivalents.

Esso Petroleum Company, Limited
STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES
for the year ended 31 December 2004

	Note	2004 £m	2003 £m
PROFIT FOR THE FINANCIAL YEAR		145.4	11.8
Unrealised surplus on revaluation of retail sites	10, 18	<u>215.7</u>	<u>0.0</u>
TOTAL RECOGNISED GAINS FOR THE YEAR		<u>361.1</u>	<u>11.8</u>

The notes on pages 8 to 20 form part of the financial statements.

Esso Petroleum Company, Limited

BALANCE SHEET

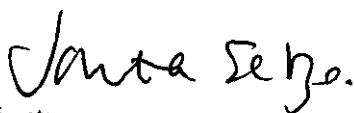
as at 31 December 2004

	Note	2004 £m	2003 £m
FIXED ASSETS			
Intangible assets	9	5.4	6.4
Tangible assets	10	1,441.7	1,254.9
Investments	11	9.7	9.7
TOTAL FIXED ASSETS		1,456.8	1,271.0
CURRENT ASSETS			
Stocks	12	336.7	297.4
Debtors falling due within one year	13	620.1	575.5
Debtors falling due after more than one year	13	39.2	88.4
Cash at bank and in hand		38.5	35.1
TOTAL CURRENT ASSETS		1,034.5	996.4
Creditors: Amounts falling due within one year	14	(949.9)	(679.6)
NET CURRENT ASSETS		84.6	316.8
TOTAL ASSETS LESS CURRENT LIABILITIES		1,541.4	1,587.8
Creditors: Amounts falling due after more than one year	14	(323.1)	(727.2)
Provisions for liabilities and charges	16	(117.6)	(121.0)
NET ASSETS		1,100.7	739.6
CAPITAL AND RESERVES			
Called up share capital	17	573.4	573.4
Profit and loss reserve	18	122.3	(23.1)
Revaluation reserve	10, 18	401.7	186.0
Capital reserve	18	3.3	3.3
TOTAL SHAREHOLDERS' FUNDS	19	1,100.7	739.6
Equity interests	19	438.4	294.6
Non equity interests	19	662.3	445.0
TOTAL SHAREHOLDERS' FUNDS	19	1,100.7	739.6

The notes on pages 8 to 20 form part of the financial statements.

The 2003 comparatives for equity and non-equity interests have been restated. Refer to note 19 for details.

These financial statements were approved by the Board on 21st October - 2005



Director

J. SELZER.

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2004

1 ACCOUNTING POLICIES

These financial statements are prepared on the going concern basis under the historical cost convention in accordance with the Companies Act 1985 and applicable Accounting Standards in the United Kingdom except where modified by the revaluation of certain tangible fixed assets.

The principal accounting policies, which have been applied consistently, are set out below.

CONSOLIDATED ACCOUNTS

The Company is a wholly-owned subsidiary of ExxonMobil UK Limited and is included in the consolidated financial statements of Esso UK Limited which is incorporated in England and Wales. The Company has taken advantage of the exemption from preparing group accounts under FRS 2, Accounting for Subsidiary Undertakings.

CASH FLOW STATEMENT

The Company is a wholly-owned subsidiary of ExxonMobil UK Limited and is included in the consolidated financial statements of Exxon Mobil Corporation which are publicly available. Consequently, the Company has taken advantage of the exemption from preparing a cash flow statement under the terms of FRS1 (revised 1996).

TURNOVER

Revenue associated with the processing and sale of crude oil, natural gas, petroleum products and related goods and services are recognised when the title passes to the customer, which typically occurs at the point of delivery or point of receipt depending on contractual terms. Revenue from sales made by refining operations are typically recognised when the product is placed onboard a vessel, on discharge or into a pipeline depending on agreed contractual terms.

FOREIGN CURRENCIES

Monetary assets and liabilities denominated in foreign currencies are translated at rates prevailing at the year end. Foreign currency transactions are translated at the rate ruling at the date of the transaction. Foreign currency translation differences are included in the appropriate profit and loss account categories.

FIXED ASSETS

Fixed assets are stated at cost except in the case of retail site land which is revalued on a 5 yearly basis by a member of the Royal Institute of Chartered Surveyors, with a review of the valuation made on an interim basis in accordance with FRS 15. An annual review is undertaken where there is evidence of a significant change in the revaluation.

Assets held under leases which transfer substantially all the benefits and risks of ownership to the lessee (finance leases) are included at a cost equivalent to the net present value of the lease payments. Purchased goodwill is shown as an intangible asset. All other fixed assets are considered to be tangible.

Premiums paid on operating leases for land and buildings have been capitalised and included within land and buildings.

Depreciation and amortisation are charged to reduce the cost of each group of assets to its residual value over its expected useful life.

All assets are depreciated or amortised by equal annual instalments as follows:

Buildings	3.3% to 4% per annum
Plant and Equipment	3.3% to 20% per annum
Leasehold land	0.5% to 6.66% per annum
Assets under construction	Not depreciated until brought into use
Freehold land	Not depreciated

GOODWILL

Goodwill arising on acquisitions of businesses and recorded in the balance sheet is amortised through the profit and loss account. The Company amortises such purchased goodwill by equal annual instalments over the purchased goodwill's expected useful life, which is between 10 and 20 years, being the Directors' best estimate of the period over which the goodwill will be realised.

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2004

1 ACCOUNTING POLICIES (continued)

STOCKS

Stocks are stated at the lower of cost and net realisable value. Cost is calculated using the first-in-first-out method, including an appropriate proportion of overheads.

DEFERRED TAXATION

Provision for deferred tax is made in accordance with FRS19. Full provision is made for deferred tax liabilities net of deferred tax assets arising from timing differences between the recognition of gains and losses in the financial statements and their recognition for tax purposes.

Deferred tax liabilities and assets are discounted.

OPERATING LEASES

Operating lease payments are charged to the profit and loss account in the period to which they relate.

PENSION COSTS

The Company operates a defined benefit pension plan, the assets of which are held in a separate trustee administered fund. In accordance with Statement of Standard Accounting Practice (SSAP) 24, the regular cost of providing pensions and related benefits and any variations from regular cost arising from the actuarial valuations are charged to the profit and loss account over the average remaining service lives of current employees. Any difference between the charge to the profit and loss account and the actual contributions paid to the pension plan is included as an asset or liability in the balance sheet. The pension cost is assessed in accordance with the advice of independent qualified actuaries and full actuarial valuations are carried out every 3 years.

RESEARCH AND DEVELOPMENT EXPENDITURE

Research and development expenditure is charged to income as incurred.

2 SEGMENTAL ANALYSIS

The Company's activities consist solely of the processing and sale of crude oil, natural gas, petroleum products and related goods and services. Turnover is recognised on transfer of legal title.

	2004	2003
	£m	£m
TURNOVER BY DESTINATION		
United Kingdom	3,346.5	2,961.2
Europe	775.4	520.5
Rest of the World	305.2	213.7
TOTAL	4,427.1	3,695.4

The Company's turnover and profit before tax is all related to the oil and gas business and is all derived from trading activities that take place in the United Kingdom.

3. OPERATING PROFIT

	2004	2003
	£m	£m
This is stated after charging the following amounts:		
Auditors' remuneration - audit fees	0.2	0.2
- non-audit fees	0.1	0.1
Operating leases - other	18.1	16.4
Depreciation & amortisation - owned assets	78.1	77.2
Research and development	5.0	6.0
Wages and salaries	85.0	85.4
Social security costs	8.1	7.8

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2004

3. OPERATING PROFIT (continued)

	2004 £m	2003 £m
Other pension costs	43.3	51.1
Other staff costs	5.6	8.4

Other staff costs comprise the cost of employees working on behalf of the Company who were seconded from other ExxonMobil affiliates. Not included above is £41.7m (2003: £44.9m) of staff costs for employees of Esso Petroleum Company, Limited who are seconded to other ExxonMobil affiliates. The costs related to these employees are fully recovered by the Company.

4 DIRECTORS' EMOLUMENTS

	2004 £k	2003 £k
DIRECTORS' EMOLUMENTS - AGGREGATE		
Pre-tax emoluments, excluding pension contributions	551	804
Company pension contributions to money purchase schemes	8	13
Amounts (excluding shares) receivable under long term incentive schemes	9	31
TOTAL	568	848

No directors (2003: 3), including the highest paid director, exercised share options in the year and no directors (2003: nil), including the highest paid director, became entitled to receive shares under long term incentive schemes.

Retirement benefits are accruing to 2 Directors, including the highest paid director (2003: 5) under a defined benefit scheme, and 1 Director, including the highest paid Director (2003: 3) under a money purchase scheme.

	2004 £k	2003 £k
DIRECTORS' EMOLUMENTS - HIGHEST PAID DIRECTOR		
Pre-tax emoluments, excluding pension contributions	406	355
Company pension contributions to money purchase schemes	8	9
Defined benefit pension scheme: accrued pension at year end	64	67

The above figures are based on a percentage split, according to time spent by each Director in Esso Petroleum Company, Limited, which is determined by each Director.

5 EMPLOYEES

The average number of persons employed during the year was:

	2004	2003
Marketing, Refining and Transportation	2,206	2,450
Exploration and Production	771	864
TOTAL	2,977	3,314

The above numbers include employees seconded to other Group Companies as follows:

	2004	2003
Assigned to other ExxonMobil downstream group undertakings	546	644
Assigned to other ExxonMobil upstream group undertakings	771	864
TOTAL	1,317	1,508

6 INTEREST RECEIVABLE AND SIMILAR INCOME

	2004 £m	2003 £m
Amounts receivable from other ExxonMobil group undertakings	11.0	5.1
Other interest receivable	1.6	2.1
TOTAL	12.6	7.2

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2004

7 INTEREST PAYABLE AND SIMILAR CHARGES

	2004 £m	2003 £m
Amounts payable to other ExxonMobil group undertakings	32.8	27.6
Other interest payable	2.9	0.0
TOTAL	35.7	27.6

8 TAXATION ON PROFIT ON ORDINARY ACTIVITIES

	2004 £m	2003 £m
CURRENT TAX		
UK Corporation tax on profit for the period	68.6	23.6
Adjustments in respect of previous periods	(6.0)	(10.5)
TOTAL CURRENT TAX	62.6	13.1
DEFERRED TAX		
Origination and reversal of timing differences	(8.6)	(11.7)
TOTAL DEFERRED TAX	(8.6)	(11.7)
TAXATION ON PROFIT ON ORDINARY ACTIVITIES	54.0	1.4

Corporation Tax has been calculated at 30% on the taxable profit for the year (2003: 30%). The tax assessed for the period is higher (2003: higher) than the standard rate of corporation tax in the UK (30%). The differences are explained below.

	2004 £m	2003 £m
Profit on ordinary activities before taxation	199.4	13.2
Profit on ordinary activities multiplied by standard rate of corporation tax in the UK of 30% (2003: 30%)	59.8	4.0
Effects of:		
Depreciation for period in excess of capital allowances	6.0	6.3
Adjustments to tax charge in respect of previous periods	(6.0)	(10.5)
Other items	2.8	13.3
Current Tax Charge for the Period	62.6	13.1

No provision has been made for deferred tax on gains recognised in revaluing fixed assets to their market value.

No taxation has been accounted for in relation to the increase in the revaluation reserve during the year.

9 INTANGIBLE ASSETS

	Goodwill £m	Other £m	Total £m
COST			
Balance at 1 January 2004	9.6	5.3	14.9
Additions	0.0	0.2	0.2
Transfers to Tangible Assets	0.0	(5.3)	(5.3)
Disposals	0.0	(0.2)	(0.2)
BALANCE AT 31 DECEMBER 2004	9.6	0.0	9.6

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2004

9 INTANGIBLE ASSETS (continued)

	Goodwill £m	Other £m	Total £m
AMORTISATION			
Balance at 1 January 2004	3.6	4.9	8.5
Charge for year	0.6	0.4	1.0
Transfers to Tangible Assets	0.0	(5.2)	(5.2)
Disposals	0.0	(0.1)	(0.1)
BALANCE AT 31 DECEMBER 2004	4.2	0.0	4.2
NET BOOK VALUE AT 31 DECEMBER 2004	5.4	0.0	5.4
NET BOOK VALUE AT 31 DECEMBER 2003	6.0	0.4	6.4

10 TANGIBLE ASSETS

	Retail Sites £m	Other Land & Buildings £m	Plant & Equipment £m	Assets Under Construction £m	Total £m
COST OR VALUATION					
Balance at 1 January 2004	604.1	120.3	1,498.6	36.6	2,259.6
Additions	0.2	0.0	0.0	70.2	70.4
Revaluation	215.7	0.0	0.0	0.0	215.7
Disposals	(20.2)	(0.1)	(28.4)	(0.1)	(48.8)
Transfers from Intangible Assets	0.0	0.0	5.3	0.0	5.3
Transfers	4.6	2.6	48.2	(55.4)	0.0
BALANCE AT 31 DECEMBER 2004	804.4	122.8	1,523.7	51.3	2,502.2
DEPRECIATION					
Balance at 1 January 2004	115.2	46.1	843.4	0.0	1,004.7
Charge for year	9.8	4.4	62.9	0.0	77.1
Disposals	(6.5)	0.0	(20.0)	0.0	(26.5)
Transfers from Intangible Assets	0.0	0.0	5.2	0.0	5.2
Transfers	(1.4)	(0.2)	1.6	0.0	0.0
BALANCE AT 31 DECEMBER 2004	117.1	50.3	893.1	0.0	1,060.5
NET BOOK VALUE AT 31 DECEMBER 2004	687.3	72.5	630.6	51.3	1,441.7
NET BOOK VALUE AT 31 DECEMBER 2003	488.9	74.2	655.2	36.6	1,254.9

Included within Retail Sites are sites which are being held for resale. The Net Book Value of these sites is £22.6m.

As at 31 December 2004 certain assets with a historical cost of £314.9m were revalued by CB Richard Ellis Limited, an external surveyor and a member of the Royal Institute of Chartered Surveyors, on a total open market value basis for existing petrochemical use of £716.6m, resulting in an increase in the revalued amount of £215.7m. These assets comprise the Retail portfolio of petrol filling stations held on a freehold or long term leasehold basis (at least 50 years unexpired term on the lease) and have been valued as fully equipped operational trading entities.

The directors are not aware of any significant diminution in value of the revalued assets.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2004

10 TANGIBLE ASSETS (continued)

The net book value of Retail Sites and Other Land & Buildings comprises:

	2004 £m	2003 £m
Freehold	722.4	497.7
Long leasehold	15.0	37.2
Short leasehold	22.4	28.2
TOTAL	759.8	563.1

11 INVESTMENTS

SHARES IN SUBSIDIARY UNDERTAKINGS AND INVESTMENTS

	2004 £m	2003 £m
Balance at 1 January 2004	9.7	23.2
Disposals	0.0	(13.5)
BALANCE AT 31 DECEMBER 2004	9.7	9.7

Details of the principal companies in which the Company holds 20% or more of any class of equity share capital or 20% or more of the total allotted share capital as at 31 December 2004 are given below:

NAME OF COMPANY	Class of Shares	Proportion of Shares & Voting Rights
SUBSIDIARY UNDERTAKINGS		
Comma Oil & Chemicals Limited	Ordinary	100%
ExxonMobil Pension Trust Limited	Ordinary	100%
Mainline Pipelines Limited	Ordinary	65%
Redline Oil Services Limited	Ordinary	100%
Retail Petroleum Services Limited	Ordinary	100%
ROC UK Limited	Ordinary	100%
OTHER INVESTMENTS		
Gatwick Airport Storage and Hydrant Company Limited	Ordinary	25%
Heathrow Hydrant Company Limited	Ordinary	20%
Heathrow Hydrant Operating Company Limited	Ordinary	23%
Heathrow Refuelling Service Company Limited	Ordinary	35%
Manchester Airport Storage and Hydrant Company Limited	Ordinary	25%
Stansted Fuelling Company Limited	Ordinary	29%

All the companies operate in the United Kingdom, are registered in England and Wales and have principal activities related to the oil and gas business.

On 29 November 2004 Heathrow Refuelling Service Company Limited was placed into members voluntary liquidation.

12 STOCKS

	2004 £m	2003 £m
Raw materials and consumables	76.4	71.5
Work in progress	46.7	45.9
Finished goods and goods for resale	213.6	180.0
TOTAL	336.7	297.4

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2004

12 STOCKS (continued)

The replacement cost of all categories of stocks held by the Company at 31 December 2004 was £331.9m (2003: £287.6m).

13 DEBTORS

	2004 £m	2003 £m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Trade debtors	267.3	315.7
Amounts owed by other ExxonMobil group undertakings	292.2	195.9
Amounts owed by subsidiary undertakings	14.4	6.4
Other debtors	24.5	27.3
Prepayments and accrued income	21.7	30.2
TOTAL	620.1	575.5
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Other debtors	1.0	9.3
Prepayments and accrued income	38.2	79.1
TOTAL	39.2	88.4

Amounts owed by group undertakings are unsecured balances payable by other than instalments.

The 2003 comparatives have been restated to ensure consistency of treatment with the 2004 figures. The 2003 figures for trade debtors and prepayments and accrued income were £321.7m and £24.2m respectively.

The Company participates in an interest bearing bank account pooling arrangement with another ExxonMobil group undertaking whereby the daily transactions cleared by the banks included in this arrangement are transferred to that undertaking. The net amount as at the balance sheet date of £186.9m (2003: £105.2m) is included in amounts owed by ExxonMobil group undertakings.

14 CREDITORS

	2004 £m	2003 £m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Bank loans and overdrafts	4.0	5.8
Trade creditors	30.1	14.9
Amounts owed to other ExxonMobil group undertakings	423.9	155.4
Amounts owed to subsidiary undertakings	0.0	0.4
Taxation and social security	314.8	328.5
Other creditors	5.8	4.1
Accruals and deferred income	171.3	170.5
TOTAL	949.9	679.6
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Long and medium term loans (see note 15)	300.0	700.0
Accruals and deferred income	23.1	27.2
TOTAL	323.1	727.2

Amounts owed to other ExxonMobil group undertakings and falling within one year are unsecured and repayable other than by instalments and include one loan for £300.0m (2003: £nil) that bears interest at a rate of LIBOR + 0.55%.

The 2003 comparatives have been restated to ensure consistency of treatment with the 2004 figures. The 2003 figures for trade creditors and accruals and deferred income were £110.4m and £75.0m respectively.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
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15 LONG AND MEDIUM TERM LOANS

	2004	2003
	£m	£m
Amounts owed to other ExxonMobil group undertakings		
Repayable over 5 years	300.0	700.0
TOTAL	300.0	700.0

Amounts owed to other ExxonMobil group undertakings are unsecured and repayable other than by instalments and comprise one loan for £300.0m (2003: £300.0m) that bears interest at a rate of 3 month LIBOR + 0.0625% (2003: LIBOR + 0.0625%). During the year a loan of £400.0m was repaid.

16 PROVISIONS FOR LIABILITIES AND CHARGES

	Deferred Taxation	Other	Total
	£m	£m	£m
Balance at 1 January 2004	112.2	8.8	121.0
Transfer from Creditors amounts falling due within one year	0.0	5.2	5.2
Utilised during the year	(17.2)	(5.3)	(22.5)
Charge to the profit and loss account	8.6	5.3	13.9
BALANCE AT 31 DECEMBER 2004	103.6	14.0	117.6

	2004	2003
	£m	£m
PROVISION FOR DEFERRED TAX		
Capital allowances in excess of depreciation	104.9	112.2
Other timing differences	(1.3)	0.0
TOTAL	103.6	112.2

Other provisions primarily relate to the restructuring of UK operations and a provision of £8.5m (2003: £3m) has been recognised in relation to these costs. A provision of £3.6m (2003: £4.7m) has also been recognised in relation to the cost of closure and remediation of sites closed prior to 31 December 2004, which are expected to be incurred within the next 5 years.

The provision for deferred tax is discounted as permitted by FRS 19. Discount rates used are the post-tax yields to maturity on government bonds with maturity dates similar to those of the deferred tax assets/liabilities. The average discount rate used is 3.17% (2003: 3.27%).

The deferred tax provision before discounting is £122.9m (2003: £138.3m). No provision has been made for deferred tax on gains recognised in revaluing property to its market value.

17 CALLED UP SHARE CAPITAL

	2004	2003
	£	£
Authorised:		
229,000,000 ordinary shares of £1 each	229,000,000	229,000,000
500,000,000 redeemable shares of £1 each	500,000,000	500,000,000
TOTAL	729,000,000	729,000,000
	2004	2003
	£	£
Allotted, called up and fully paid:		
228,385,200 ordinary shares of £1 each	228,385,200	228,385,200
345,000,000 redeemable shares of £1 each	345,000,000	345,000,000
TOTAL	573,385,200	573,385,200

Esso Petroleum Company, Limited

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for the year ended 31 December 2004

17 CALLED UP SHARE CAPITAL (continued)

The Redeemable Shares rank pari passu with the Ordinary Shares save for the redemption provisions in Article 3(E). Article 3(E) provides that 'the Company shall have the right (subject to compliance in all respects with the requirements of the Companies Act 1985) to redeem on any date all of the Redeemable shares for the time being issued and outstanding by giving to the holders of the Redeemable Shares to be redeemed, notice in writing that such redemption is to be effected on the date specified in such notice.

On a return of capital on a winding-up or capital reduction or otherwise, the holders of the Redeemable Shares shall be entitled to the same rights on a return of capital as the holders of the Ordinary Shares of the Company.

Holders of the Redeemable Shares have the right to receive notice of, attend, speak and vote at a General Meeting of the Company.

Whenever the holders of the Redeemable Shares are entitled to vote on a resolution at a general Meeting of the Company, on a show of hands, every such holder who is present in person or by proxy shall have one vote in respect of each fully paid Redeemable Share registered in the name of such holder.

The Redeemable Shares may only be transferred with the consent of the Directors.

18 RESERVES

	2004 £m	2003 £m
PROFIT AND LOSS RESERVE		
Balance at 1 January	(23.1)	(34.9)
Retained profit for the financial year	145.4	11.8
BALANCE AT 31 DECEMBER	122.3	(23.1)
REVALUATION RESERVE		
Balance at 1 January	186.0	186.0
Revaluation during the year	215.7	0.0
BALANCE AT 31 DECEMBER	401.7	186.0
CAPITAL RESERVE		
BALANCE AT 1 JANUARY AND 31 DECEMBER	3.3	3.3

19 RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

	2004 TOTAL £m	2003 TOTAL £m
Retained profit for the financial year	145.4	11.8
Revaluation during the year	215.7	0.0
Opening shareholders' funds	739.6	727.8
CLOSING SHAREHOLDERS' FUNDS	1,100.7	739.6
Equity interests	438.4	294.6
Non-equity interests	662.3	445.0
CLOSING SHAREHOLDERS' FUNDS	1,100.7	739.6

The 2003 comparatives have been restated to ensure consistency of treatment with the 2004 figures. The 2003 figures for equity interests and non-equity interests were £394.6m and £345.0m respectively.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
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20 CAPITAL COMMITMENTS

	2004 £m	2003 £m
Commitments under contracts for capital expenditure not provided for in these financial statements amount to	9.2	11.5
TOTAL	9.2	11.5

21 COMMITMENTS UNDER OPERATING LEASES

	2004 Land & Buildings £m	2003 Land & Buildings £m
At 31 December the Company had annual commitments under non cancellable operating leases expiring as follows:		
- within one year	1.4	0.2
- in one to five years	1.1	1.9
- after five years	11.0	11.9
TOTAL	13.5	14.0

22 CONTINGENT LIABILITIES

The Company has given guarantees in respect of the house sale guarantee scheme for relocating 9 employees. This involves guaranteeing the sale of the property at market value for employees who are relocating. There is no material difference between the guaranteed minimum and the current market value of these properties (2003: £nil).

23 PENSIONS

The Company is the principal employer company contributing to a funded defined benefit pension scheme in the UK. As at 1 January 2004, the market value of the underlying assets of the fund, attributable to the employees of the Company, deferred members and other beneficiaries was £1,410.8m (2003: £1,222.7m). The Actuaries are independent of the Company and their latest full actuarial valuation was carried out in 2002 on plan assets and liabilities as at 31 December 2001. Assets were valued using the Market Value based approach and liabilities were valued using the Projected Unit method. The valuation assumed that the investment returns would be 7.0%, salary growth 4.0% and inflation 2.5%. Allowance was made for Limited Price Indexation pension increases of 2.5%. The valuation showed that the assets were sufficient to cover 97% of the benefits that had accrued to members, after allowing for future increases in salaries.

PENSION COSTS UNDER SSAP24

The Company accounted for pension costs during the year under SSAP24, but the detailed disclosures as required under FRS17 transitional arrangements are also provided.

Employer contributions to the fund were £62.8m (2003: £69.1m). Employer's normal contributions were increased from January 2003 in order to maintain the funding levels.

Total pension costs for 2004 were £88.9m (2003: £101.8m). The Company recovers pension costs for those employees assigned to other companies in the ExxonMobil group. The main reason for the decrease in costs is due to the growth in the market value of the plan assets during 2003 leading to a higher than anticipated return and SSAP24 requires the gain to be spread over the future working life of the active scheme members, to the extent not already disclosed in the balance sheet. A prepayment of £16.7m (2003: £42.8m) in respect of pension costs is included in debtors. The decrease in the prepayment is due to the level of costs being higher than the contributions to the fund.

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2004

23 PENSIONS (continued)

ADDITIONAL DISCLOSURES FOR FRS17

The Company is following the transitional arrangements under FRS17 and the following disclosures are required :

The last full valuation of the liabilities of the pension fund was conducted as at 31 December 2001. This has been updated by an independent, qualified actuary to 31 December 2004. Liabilities are estimated using the projected unit method. The value of the assets has been updated to 31 December 2004 using an audited market valuation.

The major assumptions used were:

	2004	2003	2002
Rate of increase in salaries	4.00%	4.00%	4.00%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (pre April 97)	2.00%	1.70%	0.00%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (post April 97)	2.75%	2.50%	2.50%
Discount rate	5.30%	5.30%	5.50%
Inflation assumption	2.75%	2.50%	2.50%

The assets in the plan and the expected rates of return were:

	Value at 31 December		
	2004	2003	2002
	£m	£m	£m
Equities	1,158.0	1,066.1	897.5
Bonds	377.9	350.2	330.8
Cash & Other	2.7	(5.5)	(5.6)
TOTAL	1,538.6	1,410.8	1,222.7

	Expected long term rate of return at 31 December		
	2004	2003	2002
Equities	8.50%	8.55%	8.00%
Bonds	4.82%	5.58%	4.75%
Cash & Other	0.00%	0.00%	0.00%

Balance sheet liability as at 31 December:

	2004	2003
	£m	£m
Total market value of plan assets	1,538.6	1,410.8
Actuarial liabilities	(2,401.0)	(2,195.2)
Deficit	(862.4)	(784.4)
Related deferred tax asset	262.6	246.7
Net pension liability at end of year	(599.8)	(537.7)

The following amounts would have been recognised in the profit and loss account under the requirements of FRS 17:

Components of pension cost for the year ended 31 December:	2004	2003
	£m	£m
Current service cost	(36.4)	(36.0)
Past service cost	(3.4)	(15.2)
Total charge to operating profit	(39.8)	(51.2)
Expected return on pension plan assets	109.3	86.5
Interest on pension plan liabilities	(113.6)	(100.6)
Total amount charged to financing provisions	(4.3)	(14.1)

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2004

23 PENSIONS (continued)

The following amounts would have been recognised in the Statement of Total Recognised Gains and Losses ("STRGL") under the requirements of FRS 17:

	2004 £m	2003 £m
Actual return in excess of expected return on plan assets	54.9	130.1
Experience loss arising on pension plan liabilities	(74.0)	(10.5)
Loss on change in actuarial assumptions	(77.6)	(270.0)
Net actuarial loss to be recognised in STRGL before adjustment for tax.	(96.7)	(150.4)

History of experience gains and (losses) for the year ended 31 December:

Difference between expected and actual return on plan assets under the requirements of FRS 17.

	2004	2003	2002
Amount (£m)	54.9	130.1	(309.5)
Percentage of plan assets	3.6%	9.2%	25.3%

Experience gains and (losses) on plan liabilities under the requirements of FRS 17.

	2004	2003	2002
Amount (£m)	(74.0)	(10.5)	(75.8)
Percentage of the present value of plan liabilities	3.1%	0.5%	4.1%

Total amount to be recognised in STRGL under the requirements of FRS 17.

	2004	2003	2002
Amount (£m)	(96.7)	(150.4)	(613.6)
Percentage of the present value of plan liabilities	4.0%	6.9%	33.0%

If the above amounts had been recognised in the financial statements, the Company's net assets and profit and loss reserve at 31 December would be as follows:

	2004 £m	2003 £m
Net Assets	1,100.7	739.6
Pension asset SSAP24 basis	16.7	42.8
Related deferred tax liability	(1.1)	(5.0)
Net assets excluding pension asset	1,085.1	701.8
Pension liability FRS17 basis	(862.4)	(784.4)
Related deferred tax asset	262.6	246.7
Net assets including pension liability	485.3	164.1
Profit and loss reserve	122.3	(23.1)
Pension asset SSAP24 basis	16.7	42.8
Related deferred tax liability	(1.1)	(5.0)
Profit and loss reserve excluding pension asset	106.7	(60.9)
Pension liability FRS17 basis	(862.4)	(784.4)
Related deferred tax liability	262.6	246.7
Profit and loss reserve including net pension liability	(493.1)	(598.6)

The 2003 comparatives have been restated to include a related deferred tax liability on the SSAP 24 pension asset.

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

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23 PENSIONS (continued)

Analysis of the movement in the plan deficit during the year:	2004 £m	2003 £m
Deficit in the plan at the beginning of the year	(784.4)	(637.8)
Employer's contributions paid	62.8	69.1
Current service cost	(36.4)	(36.0)
Past service cost	(3.4)	(15.2)
Net charge to finance provisions	(4.3)	(14.1)
Net actuarial loss	(96.7)	(150.4)
Deficit in the plan at the end of the year	(862.4)	(784.4)

24 RELATED PARTY BALANCES

Esso Petroleum Company, Limited is a 100% subsidiary within the Exxon Mobil Corporation Group and, therefore, utilises the exemption contained in paragraph 3 (c) of FRS 8 Related Party Disclosures not to disclose any transactions with any entities that are part of that group. The address at which the Exxon Mobil Corporation consolidated financial statements are publicly available is detailed in note 25.

At 31 December 2004 the outstanding lease deposits paid to third parties by Esso Petroleum Company, Limited on behalf of directors were: T G Katinas £3,012 (2003: £3,012). The lease deposits are part of the employee relocation scheme.

25 ULTIMATE HOLDING COMPANY

The immediate holding company is ExxonMobil UK Limited. The ultimate holding company and controlling party is Exxon Mobil Corporation, incorporated in New Jersey, USA. Exxon Mobil Corporation is listed on the New York Stock Exchange and its shares are widely dispersed. The smallest group of which the Company is a member and for which group accounts are prepared is Esso UK Limited. Accounts can be obtained from the Public Affairs Department, ExxonMobil House, Ermyn Way, Leatherhead, Surrey KT22 8UX. The largest group of which the Company is a member and for which group accounts are prepared is Exxon Mobil Corporation. Accounts can be obtained from Exxon Mobil Corporation, Shareholder Relations, Post Office Box 140369, Irving, Texas 75014 - 0369, USA.